

## 25SMCV06236 25SMCV06236

County: los-angeles

Division: Civil Law and Motion

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Hearing date: 2026-07-29

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Case Number: 25SMCV06236 Hearing Date: July 29, 2026 Dept: 205

Superior Court of California

County of Los Angeles

Beverly

Hills Courthouse | Department 205

WASABI TECHNOLOGIES LLC,

Plaintiff,

v.

PACKETFABRIC, INC., et al.

Defendants.

Case No.:

25SMCV06236

Hearing Date: 07/29//26

Trial Date:

None

[TENTATIVE] RULING RE:

Motion for Relief Concerning Default Judgment

## Background

In this breach of contract action, Plaintiff Wasabi Technologies LLC (Plaintiff) alleges that, pursuant to a written agreement with Defendant PacketFabric, Inc. (Defendant), it granted Defendant a license to integrate Plaintiff's storage service into Defendant's intellectual property, technology, and services, but Defendant breached the agreement by failing to pay \$317,702.75.

On December 2, 2025, Plaintiff filed this action against Defendant and Does 1 to 10, asserting breach of contract.

On February 4, 2026, Plaintiff filed Proof of Service of Summons & Complaint, stating that a registered California process server served Defendant on December 22, 2025, at CSC-Lawyers Incorporating Service, 2710 Gateway Oaks Drive, Suite 150N, Sacramento, CA 95833.

Default was entered against Defendant on February 4, 2026.

On February 13, 2026, Plaintiff filed a request for entry of court judgment and dismissed Does 1 to 10.

On May 28, 2026, the Court granted the request for entry of default judgment in the amount of \$379,261.33, consisting of damages of \$317,702.75, interest of \$55,880.87, costs of \$610.68, and attorney fees of \$5,067.03.

On June 5, 2026, Writ of Execution (Money Judgment) was issued against Defendant.

On June 22, 2026, Defendant filed the instant "Motion for Relief Concerning Default Judgment," seeking an order (1) relieving it from default judgment pursuant to Code of Civil Procedure section 473 ("Section 473"), and/or alternatively (2) striking attorney's fees and interest amounts that Plaintiff was not entitled to.

On June 25, 2026, the Court granted Defendant's ex parte application to stay enforcement of the writ of execution pending the Court's ruling on this motion.

On July 14, 2026, Plaintiff filed its opposition, mainly arguing that (1) the motion is untimely and Defendant has not demonstrated grounds for relief under Section 473; and (2) Plaintiff will be prejudiced because if the motion is granted, funds subject to the writ of execution may be transferred out of Plaintiff's reach.

On July 22, 2026, Defendant filed its reply.

#### Request for Judicial Notice

Plaintiff's request for judicial notice of Defendant's Statements of Information dated August 4, 2025, and July 7, 2026, from the California Secretary of State website is granted. (Evid. Code, 452, subd. (c) [allowing judicial notice of official acts of the executive department of the state]; see e.g. *Jones v. Goodman* (2020) 57 Cal.App.5th 521, 529, fn. 6 ["We take judicial notice of the articles of incorporation for Creative Genius, Inc., from the California Secretary of State's website"]; but see also *Searles Valley Minerals Operations, Inc. v. State Bd. of Equalization* (2008) 160 Cal.App.4th 514, 519 ["although it might be appropriate to take judicial notice of the existence of [government] websites, the same is not true of their factual content" (italics removed)].)

#### Evidentiary Objections

Plaintiff's objections to the declaration of Chad Milam ("Milam"), Defendant's Chief Executive Officer, Board Member, and Corporate Secretary are overruled.

#### Legal Standard

"The trial court has discretion under section 473(b) on a showing of mistake, inadvertence, surprise or excusable neglect to grant relief from a judgment, dismissal or other order based on its evaluation of the nature of the mistake or error alleged and the justification proffered for the conduct that occurred. 'The general underlying purpose of section 473(b) is to promote the determination of actions on their merits.' [Citations.]" (*Austin v. Los Angeles Unified School Dist.* (2016) 244 Cal.App.4th 918, 928 (*Austin*) [footnote omitted].)

“A

party seeking relief under section 473(b) must file the motion within a reasonable time but not longer than six months after the judgment or dismissal has been entered. This six-month time limitation is jurisdictional; the court has no power to grant relief under section 473 once the time has lapsed.” (Austin, *supra*, 244 Cal.App.4th at p. 928.)

When

a motion to set aside judgment is brought within the six-month limit of Section 473(b), like in this case, “the moving party must establish [his] motion was made ‘within a reasonable time.’ (§ 473(b).)” (Arega v. Bay Area Rapid Transit Dist. (2022) 83 Cal.App.5th 308, 316.) “What constitutes a ‘reasonable time’ depends on the circumstances of each case ‘but definitively requires a showing of diligence in making the motion after the discovery of the default.’ [Citation.] ‘Whether a party has acted diligently is a factual question for the trial court’ [citation], which exercises a great deal of discretion in making that determination.” (Ibid. [emphasis added].)

Here, Defendant filed the motion only nine (9) days after the default was entered, showing diligence. Therefore, the Court declines Plaintiff’s request to deny the motion on the ground of diligence.

Analysis

A. Whether Defendant Has Shown

Mistake, Inadvertence, and Excusable Neglect Within the Meaning of Section 473(b)

As an

initial matter, the Court finds that Defendant’s motion is timely as it was brought within six months of the entry of default (on February 4, 2026), and default judgment (on February 13, 2026). Plaintiff’s argument that Defendant did not act diligently in bringing the motion is unpersuasive. Milam, Defendant’s CEO, testifies that he did not learn about the existence of the Complaint until receiving a FedEx package containing all mail from the company’s headquarters’ mailbox in or around May 2026. (Milam Decl., ¶ 8.) Defendant filed the motion approximately a month later, on June 22, 2026, showing diligence.

“The terms

mistake, inadvertence, surprise, and excusable neglect warranting relief under

section 473(b) are defined as follows: 'Mistake is not a ground for relief under section 473, subdivision (b), when "the court finds that the 'mistake' is simply the result of professional incompetence, general ignorance of the law, or unjustifiable negligence in discovering the law...." [Citation.] Further, "[t]he term 'surprise,' as used in section 473, refers to "some condition or situation in which a party ... is unexpectedly placed to his injury, without any default or negligence of his own, which ordinary prudence could not have guarded against.'" [Citation.]" Finally, as for inadvertence or neglect, "[t]o warrant relief under section 473 a litigant's neglect must have been such as might have been the act of a reasonably prudent person under the same circumstances. The inadvertence contemplated by the statute does not mean mere inadvertence in the abstract. If it is wholly inexcusable it does not justify relief.' [Citation.]" (Henderson v. Pacific Gas & Electric Co. (2010) 187 Cal.App.4th 215, 229–230.)

Milam testifies that Defendant did not know or have reason to know that it had been served with the Complaint and, therefore, could not file its response to the Complaint within the statutory deadline because (1) Defendant's registered agent for service of process did not email Milam or other officers a copy of the Complaint, and (2) a copy was instead mailed to the company's headquarters' mailbox, which is rarely monitored because the company operates remotely and there is no personnel at the mailbox's address. (Milam Decl., ¶¶ 3-6.)

The Court agrees with Plaintiff that Defendant has failed to show mistake, inadvertence, or excusable neglect. A reasonable company in Defendant's position would have been monitoring its headquarters' mailbox daily. In addition, the motion is unaccompanied by a declaration from the agent for process of service attesting to their alleged mistake with regard to notifying the company's executives of the lawsuit.

Therefore, Defendant's request to set aside the default and/or default judgment on the ground of mistake, inadvertence, or excusable neglect under Section 473(b) is denied.

B. Whether the Attorney-Fee Portion of the Judgment Was Void

As an alternative to its motion for an order setting aside the entire judgment, Defendant moves to set aside

the portion of the judgment that awarded Plaintiff attorney's fees, arguing that there was no statutory or contractual basis for those fees. In its opposition, Plaintiff does not address that argument or dispute that argument.

"Under section 473, subdivision (d), a trial court 'may ... set aside any void judgment or order.' (§ 473, subd. (d).)" (People v. The North River Ins. Co. (2020) 48 Cal.App.5th 226, 232.) "A judgment is 'void' only when the court entering that judgment 'lack[ed] jurisdiction in a fundamental sense' due to the "entire absence of power to hear or determine the case" resulting from the "absence of authority over the subject matter or the parties." [Citations.] .... '[J]urisdictional errors can be of two types[.] A court can lack fundamental authority over the subject matter, question presented, or party, making its judgment void, or it can merely act in excess of its jurisdiction or defined power, rendering the judgment voidable.' [Citation.] Only void judgments and orders may be set aside under section 473, subdivision (d); voidable judgments and orders may not." (Id. at pp. 233-234.)

The Court finds that the attorney fee portion of the judgment is void not voidable. According to case law, "[u]nless authorized by either statute or agreement, attorney's fees ordinarily are not recoverable as costs. [Citations.]" [Citation.]" (Heritage Pacific Financial, LLC v. Monroy (2013) 215 Cal.App.4th 972, 1003.) Here, there is no statute or provision in the agreement that allowed Plaintiff to recover attorney fees.

Therefore, the request to set aside the attorney fee portion of the judgment (i.e., \$5,067.03) is granted.

#### C. Whether the Pre-Judgment Interest Portion of the Judgment Was Void

Defendant also moves to reduce the interest awarded to Plaintiff, arguing as follows.

"[T]he \$55,880.87 in pre-judgment interest sought by Plaintiff in the Judgment is inaccurate both in terms of the rate of the interest it applies and in its calculation of the interest that would be due under that rate." (Motion, p. 8:2-4.)

“As to the applicable rate of interest that could be charged, the 10% per annum rate applied by Plaintiff contradicts the express terms of the parties’ Contract upon which the alleged damages are based. Section 4.3 of the Contract expressly provides that the rate of interest shall be the lesser of 0.5% per month or the maximum rate under applicable law (i.e., 10% per annum). (Exhibit A.) As there are 12 months in a year, a rate of 0.5% per month would equate to approximately 6% per year, which is obviously less than 10% per year. Despite this, the Judgment sought by Plaintiff and entered by the Court expressly state that pre-judgment interest would be charged at the higher rate of 10% per year. This utilization of the higher interest rate contradicts the Contract’s provisions, which control over the general statutory standard. Cal. Civ. Code § 3289(a).” (Motion, p. 8:5-13; see also Milam Decl., Exh. A – a copy of the contract, Section 4.3, first paragraph, last sentence [“All amounts due and owing to Wasabi hereunder but not paid by OEM on the due date thereof shall bear interest at the rate of the lesser of: (i) one-half per cent (0.5%) per month; and (ii) the maximum lawful interest rate permitted under applicable law. Such interest shall accrue on the balance of unpaid amounts from time to time outstanding from the date on which portions of such amounts become due and owing until payment thereof in full”].)

“Furthermore, Plaintiff’s calculation of pre-judgment interest would be inaccurate even if a 10% interest rate is used. The simple formula for calculating prejudgment interest is: [Principal Amount x Annual Rate x Number of Years]. Here, the principal amount is alleged to be \$312,702.75, and Plaintiff alleges that the breach occurred on May 12, 2024. Plaintiff submitted its request for judgment on February 13, 2026, which is 642 days after the alleged breach (i.e., around 1.76 years). Under 10% per year interest, that only equates to \$55,001.42, which is around \$880 less than what is listed in the Judgment. Regardless, a correct calculation of pre-judgment interest would utilize the proper interest rate of 0.5% per month. Using the correct rate, the maximum amount of pre-judgment interest Plaintiff could seek as of the date it submitted its request for judgment would be \$33,000.85. Even basing pre-judgment interest off the date that the Judgment was actually entered on May 28, 2026, that equates to a maximum of \$38,346.78 in pre-judgment interest. In either case, the amount of interest sought by Plaintiff is approximately \$20,000 more than the maximum amount it could legally be entitled to.” (Motion, p. 8:14-20.)

In its opposition, Plaintiff has not addressed the interest argument or disputed that the correct interest rate is

6 percent per annum under the parties' contract.

The Court finds that the portion of the judgment awarding Plaintiff prejudgment interest of \$55,001.42 is void. The Court previously relied on the 10 percent per annum interest provided by Plaintiff instead of the 6 percent required under the contract. (See Declaration of Steven A. Booska re Accruing Interest, filed February 13, 2026, ¶ 3 ["The calculations for interest [for the request for court judgment] is determined at the sum of 10% per annum from and after May 12, 2024 to February 13, 2026 on the principal amount of \$317,702.75. Since the filing of the Request for Entry of Default, 642 days had elapsed from the day of payment default. Accordingly, plaintiff requests \$55,880.87 be added as interest in plaintiff's judgment"].)

Interest at the contractual rate of 6 percent per annum on damages of \$317,702.75 for the period between the date of the alleged breach on May 12, 2024, to the date of the request for entry of default on February 13, 2026 (i.e., 642 days) equals \$33,528.52. It is unclear how Defendant arrived at \$33,000.85.

For those reasons, Defendant's request to reduce the interest fee portion of the judgment is granted. The Court shall enter a new judgment with pre-judgment interest of \$33,528.52.

#### Conclusion

Based on the foregoing, the Motion for Relief Concerning Default Judgment is GRANTED IN PART and DENIED IN PART as follows. The request to set aside the portion of the judgment awarding Plaintiff attorney fees of \$5,067.03 is GRANTED. The request to reduce the pre-judgment interest is GRANTED. The Court awards Plaintiff pre-judgment interest of \$33,528.52. The motion is otherwise DENIED.

The Court sets aside the judgment entered on May 28, 2026, and hereby enters a new judgment of \$351,841.95, consisting of damages of \$317,702.75, pre-judgment interest of \$33,528.52, and costs of \$610.68.

Moving party to give notice.

Dated: July 29, 2026



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Edward B. Moreton, Jr.

Judge of the Superior Court